Fooled by Randomness -- Fill-in-the-Blank ANSWER KEY

100 Questions - Grouped by Chapter - Nassim Nicholas Taleb - Answers in orange

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Prologue & Overview

1. Taleb's fictional trader protagonist and alter ego is named Nero **Tulip**.
2. The book's subtitle describes randomness as 'the hidden **role** of chance in life and in the markets.'
3. The simulation technique named after a famous gambling city that generates thousands of possible market histories is **Monte** Carlo simulation.
4. The ancient Athenian lawgiver who warned that no man should be counted happy until he is dead is **Solon**.
5. Solon's warning was famously delivered to the wealthy king **Croesus** of Lydia.
6. The population of failed traders we never observe because they have been wiped out is called the 'cemetery of **silent** evidence.'
7. Taleb's core claim is that humans systematically **underestimate** the role of luck in apparent success.
8. Nero's trading strategy deliberately accepts many small **losses** in exchange for rare, large gains.

Part I - Ch. 1: If You're So Rich, Why Aren't You So Smart?

9. A person whose wealth is primarily the product of luck rather than skill is called a 'lucky **fool**' by Taleb.
10. Taleb introduces the notion of **alternative** histories -- the set of all alternative outcomes that could plausibly have occurred.
11. In the dentist thought experiment, checking the market every **15** minutes exposes the investor to far more emotional noise than checking monthly.
12. Taleb insists that decisions should be judged by the **quality** of the decision-making process, not solely by the final result.
13. The neighbour trader who is wealthier than Nero is presented as an example of someone **fooled** by randomness.
14. The invisible majority of traders who tried and failed, leaving no record, form what Taleb calls the 'traders' **graveyard**.'
15. Taleb argues that a single good outcome tells us **little** about the true quality of the strategy that produced it.

Part I - Ch. 2: A Bizarre Accounting Method

16. Taleb uses Russian **roulette** as a metaphor to show that surviving a dangerous gamble does not make the gamble wise.
17. In a revolver with six chambers and one bullet, the probability of surviving a single pull is **five** out of six.
18. The 'bizarre accounting method' of the chapter title refers to evaluating performance by counting only **winners** while ignoring the losers.
19. Because we only study survivors, we overestimate the average skill of **traders** and fund managers.

20. Taleb contrasts the variable, luck-driven income of traders unfavourably with the stable, skill-linked income of a **dentist**.
21. Assigning credit for good outcomes to skill, while attributing bad outcomes to bad luck, is described as **asymmetric** accounting.

Part I - Ch. 3: A Mathematical Meditation on History

22. The Monte Carlo method generates a large number of **simulated histories** to reveal how often a given strategy succeeds by chance.
23. Nero uses **Monte Carlo** simulation to stress-test his portfolio against thousands of possible market scenarios.
24. Taleb argues that a strong past track record of market returns tells us **little** reliable information about future skill.
25. If enough independent traders follow random strategies, some will produce impressive **track** records purely by chance.
26. Constructing a trading strategy by searching through historical data until a profitable pattern appears is called **data** mining.
27. Explanations invented after the fact to account for a market move are examples of the **narrative** fallacy.

Part I - Ch. 4: Randomness, Nonsense, and the Scientific Intellectual

28. Taleb's favourite philosopher, who introduced the criterion of **falsifiability** to demarcate science from non-science, was Karl Popper.
29. According to Popper, for a theory to be scientific it must be capable of being proven **wrong**.
30. The philosopher who first rigorously articulated the problem of **induction** -- that observations alone cannot establish universal laws -- was David Hume.
31. Hume demonstrated that even an enormous number of **confirming** instances cannot logically prove a universal generalisation.
32. The logical asymmetry Popper exploited: while no number of confirmations proves a rule, a single **counterexample** disproves it.
33. Taleb praises **sceptical** empiricism -- the stance of remaining sceptical and refusing to accept claims that cannot be falsified.
34. The Latin phrase 'post hoc **ergo** propter hoc' names the fallacy of concluding that because B followed A, A caused B.

Part II - Ch. 5: Survival of the Least Fit

35. The idea that we observe only successful outcomes because failures have been eliminated is called **survivorship** bias.
36. Taleb's famous metaphor for survivorship bias involves **monkeys** typing randomly on typewriters.
37. Given infinite time, a monkey randomly striking keys would eventually reproduce the complete works of **Shakespeare**.

38. If 10,000 managers each flip a fair coin annually and you eliminate losers, after five years roughly **313** will have an unbroken winning streak.
39. Those surviving managers will appear **skilled** even though their results were entirely due to chance.
40. Taleb argues that studying only **surviving** funds or traders teaches us nothing reliable about the strategies that produced success.
41. Biological evolution, Taleb notes, does not guarantee that the **fittest** individual survives -- only the one that happened to fit current conditions.
42. The chapter subtitle implies that even natural selection can mistake **luck** for fitness.

Part II - Ch. 6: Skewness and Asymmetry

43. Distributions where rare catastrophic losses are possible but invisible in normal data are said to have **fat** tails.
44. The strategy of accumulating many small gains while remaining exposed to one devastating loss is compared to picking up **nickels** in front of a steamroller.
45. Taleb prefers to be **positively** skewed -- suffering small, frequent losses in exchange for occasional enormous gains.
46. When the most likely outcome is a gain but rare losses are catastrophic, the **expected** value of the distribution is negative.
47. The crucial distinction Taleb draws is between the median (the most frequent outcome) and the **mean** (the probability-weighted average).
48. A strategy that profits 999 out of 1,000 days but suffers a devastating loss on day 1,000 is described as **Russian** -roulette style trading.
49. The **skewness** of a distribution -- its degree of asymmetry -- determines whether frequent small wins mask a negative expected outcome.
50. Taleb's preferred trades have positive **expected** value even though they lose money the majority of the time.

Part II - Ch. 7: The Problem of Induction

51. Hume showed that no number of **confirming** observations can logically guarantee a universal conclusion.
52. The classic philosophical example: observing one million **white** swans cannot prove all swans share that colour.
53. In 1697, Dutch explorers in Australia discovered **black** swans, shattering the longstanding European assumption.
54. A theory that cannot in principle be shown to be false is described by Popper as **unfalsifiable**.
55. Taleb's vivid modern illustration of the induction problem is a **turkey** that is fed every day for a year.
56. On the turkey's thousandth day of being fed, its inductively confident prediction of another meal is violently **refuted**.
57. The correct response to the problem of induction, Taleb argues, is to maintain **humility** about any prediction.

Part II - Ch. 8: Monkeys on Typewriters

58. The chapter's central point is that survivorship bias causes us to mistake **luck** for skill.
59. Taleb argues that even a **fifteen** -year track record is insufficient to distinguish skill from chance in financial markets.
60. A strategy optimised to fit historical data perfectly will almost certainly **underperform** when applied to new data.
61. Fitting a model so closely to past data that it captures noise rather than signal is called **overfitting**.
62. Financial journalism reinforces survivorship bias by reporting only on **winners** while ignoring the silent majority of failures.
63. A trader who prospered during a prolonged bull market may simply have been **carried** by a favourable environment.
64. Taleb notes that the best-performing fund manager at the decade's end is most likely the one who took the most **risk** and got lucky.

Part III - Ch. 9: Nonlinear Things

65. Odysseus ordered his sailors to fill their ears with **wax** so they could not hear the Sirens' song.
66. Odysseus had himself **tied** to the mast so he could listen to the Sirens without being able to act on impulse.
67. Taleb uses the Odysseus story as a model for pre-committing to **rules** in advance of emotional market conditions.
68. The chapter title highlights that financial markets produce **nonlinear** outcomes -- small inputs can cause disproportionate results.
69. Taleb's version of the Odysseus strategy is to set strict **stop** -loss limits before the market opens.

Part III - Ch. 10: Loser Takes All

70. Markets where one competitor captures almost all rewards while many others receive almost nothing are called **winner** -take-all markets.
71. The biblical principle -- 'to him who has, more shall be given' -- is associated with the **Matthew** effect.
72. Tiny initial advantages in winner-take-all markets are amplified through **network** dynamics.
73. Taleb argues that the enormous income gap between a famous author and an equally talented unknown reflects **winner** -take-all dynamics.
74. In a winner-take-all market, early **timing** -- being visible at the right moment -- matters more than intrinsic quality.
75. The phenomenon of **increasing** returns means that whoever gains an early lead tends to widen the gap indefinitely.

Part III - Ch. 11: We Are Probability Blind

76. The two psychologists who pioneered the experimental study of human cognitive biases are Daniel Kahneman and Amos **Tversky**.

77. Their framework describing how people weigh gains and losses asymmetrically is called **prospect** theory.
78. According to prospect theory, people feel the pain of a loss approximately **twice** times as intensely as the pleasure of an equivalent gain.
79. The bias in which an initial, often arbitrary number unduly influences subsequent estimates is called **anchoring** bias.
80. The heuristic by which people judge probability by how easily a vivid example comes to mind is the **availability** heuristic.
81. The illusion that one can influence a fundamentally random outcome is called the illusion of **control**.
82. Seeing meaningful patterns in genuinely random sequences -- faces in clouds, trends in noise -- is called **apophenia**.
83. The false belief that a series of successes proves 'momentum' is the **hot** hand fallacy.
84. Taleb notes that even when his rational mind knows a market move is noise, his **limbic** system still generates an emotional response.
85. Kahneman and Tversky showed that people are not rational **utility** maximisers but are instead subject to systematic biases.

Part III - Ch. 12: Gamblers' Ticks and Pigeons in a Box

86. The behaviourist psychologist who demonstrated superstitious behaviour in pigeons via random reinforcement was B. F. **Skinner**.
87. Skinner delivered food pellets to pigeons at **random** intervals, with no connection to any action the pigeon performed.
88. The pigeons developed **superstitious** behaviours because they mistakenly associated those actions with receiving food.
89. The gambler's fallacy is the mistaken belief that after a long run of the same outcome, the **opposite** outcome is 'due.'
90. Taleb recommends checking portfolio performance **monthly** rather than daily or hourly to reduce exposure to meaningless noise.

Part III - Ch. 13: Carneades Comes to Rome

91. The ancient Greek sceptic philosopher who visited Rome and argued convincingly on both sides of every ethical question was **Carneades**.
92. The ancient philosophical school that advocated suspending judgement on all questions is called **Pyrrhonism**.
93. The Stoic philosopher whose extensive letters Taleb reads as a manual for living wisely under uncertainty was **Seneca**.
94. The Stoic slave-philosopher who taught that the only thing within our control is our own **will**, not external events, was Epictetus.
95. Taleb's own preferred stance -- combining rigorous scepticism with openness to experience -- is called **sceptical** empiricism.

Epilogue & General

96. Solon warned Croesus that **death** alone -- not wealth or power -- reveals whether a life has been truly fortunate.

97. The financial company whose 1998 collapse demonstrated that Nobel-calibre models do not eliminate tail risk was **LTCM**.

98. The two LTCM principals who shared a Nobel Prize for option-pricing theory were Myron Scholes and Robert **Merton**.

99. The distribution assumed by most standard financial models -- which underestimates extreme events -- is the **Gaussian** distribution.

100. The mathematician who proposed using power-law distributions to model financial markets was Benoit **Mandelbrot**.

101. Taleb argues that the only honest response to radical uncertainty is to build **robustness** into systems.

102. The book's ultimate lesson, echoing Solon, is that apparent **luck** should never be mistaken for durable success.